

Quest Portal ehf.

Financial Statements 2024

Unaudited Financial Statements
Quest Portal ehf.
Bankastræti 5
101 Reykjavík

Reg. No 610421-1130

Contents

	Page
Endorsement by the Board of Directors and the CEO	3
Auditor's Report	4
Income Statement	5
Balance Sheet	6
Statement of Cash Flows	7
Notes	8

Endorsement by the Board of Directors and the CEO

The purpose of the company is the development and production of software.

Operations for the year 2024

Operating income of the Company amounted to ISK 520,2 million in the year 2024 and increased by ISK 112,1 million between years, or about 27,5%. All sales are to the parent company. Profit for the year 2024 amounted to ISK 157,4 million. (2023: Profit ISK 131,9 million).

The Company's equity at year end amounted to ISK 336,3 million (2023: 196,3 million) including the Company's shares in the amount of ISK 0,5 million. The Company's Board of Directors proposes that no dividend be paid to shareholders in 2025 and refers to the Financial Statements regarding allocation of profit and other changes to equity.

The Company is fully owned by Quest Portal INC. at year end as at the beginning of the year.

The Board of Directors and CEO of Quest Portal ehf. hereby confirm the financial statements of the company for the year 2024 with their signatures. The Board of Directors and CEO propose to the Annual General Meeting to approve the Financial Statements.

Reykjavík, / 2025.

Board of Directors

General Manager:

Auditor's Report

To the Board of Directors and Shareholders of Quest Portal ehf.

We have compiled the accompanying financial statements of Quest Portal ehf. based on information the Board of Directors and CEO have provided. These financial statements comprise the endorsement by the board of directors and CEO, the statement of financial position of Quest Portal ehf. as at December 31, 2024, the statement of comprehensive income and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

We performed this compilation engagement in accordance with International Standard on Related Services 4410 (Revised), Compilation Engagements.

We have applied our expertise in accounting and financial reporting to assist the company in the preparation and presentation of these financial statements in accordance with Icelandic Financial Statements Act No. 3/2006 (IS-GAAP). We have complied with relevant ethical requirements, including principles of integrity, objectivity, professional competence and due care.

These financial statements and the accuracy and completeness of the information used to compile them are the Board of Directors and CEO's responsibility.

Since a compilation engagement is not an assurance engagement, we are not required to verify the accuracy or completeness of the information you provided to us to compile these financial statements. Accordingly, we do not express an audit opinion or a review conclusion on whether these financial statements are prepared in accordance with Icelandic Financial Statements Act No. 3/2006.

Reykjavík, / 2025.

Income Statement for the year 2024

	Notes	2024	2023
Operating income			
Service sold		391.323.165	325.711.631
Other income	8	106.922.247	82.381.354
		<u>498.245.412</u>	<u>408.092.985</u>
Operating expenses			
Cost of goods sold		13.419.585	6.081.420
Salaries and salary related expenses	9	211.403.564	213.935.515
Other operating expenses		132.283.341	70.797.021
Depreciation	11	2.788.675	2.302.481
		<u>359.895.165</u>	<u>293.116.437</u>
Operating profit before financial items (EBIT)		138.350.247	114.976.548
Financial items			
Interest income		16.701.972	21.327.302
Interest expenses		(947.844)	(410.638)
Currency exchange difference		136.363	4.870.338
		<u>15.890.491</u>	<u>25.787.002</u>
Profit before income tax		154.240.738	140.763.550
Income tax	10	(14.289.986)	(8.883.774)
Profit for the year	13	<u>139.950.752</u>	<u>131.879.776</u>

Balance sheet 31. December 2024

	Notes	2024	2023
Assets			
Operating assets	11	3.879.662	6.668.337
Non-current assets		<u>3.879.662</u>	<u>6.668.337</u>
Related party receivables	15	104.045.599	2.809.856
Other receivables		102.488.593	92.093.549
Cash and cash equivalents		176.323.301	369.067.168
Current assets		<u>382.857.493</u>	<u>463.970.573</u>
Total assets		<u><u>386.737.155</u></u>	<u><u>470.638.910</u></u>
Equity			
Share capital	12	500.000	500.000
Statutory reserve		125.000	125.000
Retained earnings		335.668.354	195.717.602
Equity	13	<u>336.293.354</u>	<u>196.342.602</u>
Liabilities			
Deferred tax liability	14	1.413.133	406.655
Non-current liabilities		<u>1.413.133</u>	<u>406.655</u>
Trade payables		4.113.954	1.762.993
Related party debt	15	410.454	242.447.167
Taxes payable	14	13.283.508	8.477.119
Other current liabilities		31.222.752	21.202.374
Current liabilities		<u>49.030.668</u>	<u>273.889.653</u>
Total liabilities		<u>50.443.801</u>	<u>274.296.308</u>
Total equity and liabilities		<u><u>386.737.155</u></u>	<u><u>470.638.910</u></u>

Statement of cash flows for the year 2024

	Notes	2024	2023
Cash flows from operating activities:			
Profit for the year	13	139.950.752	131.879.776
Installments of long-term liabilities:			
Depreciation	11	2.788.675	2.302.481
Income tax, change		1.006.478	406.655
Cash from operating activities		<u>143.745.905</u>	<u>134.588.912</u>
Changes in current assets and liabilities:			
Short term receivables, increase		(423.639.424)	(13.896.936)
Short term payables, increase		17.177.728	297.099
Changes in operating assets and liabilities		<u>(406.461.696)</u>	<u>(13.599.837)</u>
Net cash (used in) from operating activities		<u>(262.715.791)</u>	<u>120.989.075</u>
Cash flows from investing activities			
Investment in operating assets	11	0	(2.740.718)
Investment activities		<u>312.008.637</u>	<u>(2.740.718)</u>
Cash flows from financing activities			
Related party payables, change		(242.036.713)	(113.476.860)
Financing activities		<u>(242.036.713)</u>	<u>(113.476.860)</u>
(Decrease) Increase in cash and cash equivalents		(192.743.867)	4.771.497
Cash and cash equivalents at beginning of the year		369.067.168	364.295.671
Cash and cash equivalents at the end of the year		<u>176.323.301</u>	<u>369.067.168</u>

Notes

1. The Company

Quest Portal ehf. („Company“) is an Icelandic limited company domiciled at Bankastræti 5 in Reykjavík. The main purpose of the Company is development and production of Software.

Significant accounting policies

2. Basis of preparation

The Financial Statements are prepared in accordance with the Icelandic Financial Statement Act and the regulation for the presentation and contents of Financial Statements. They are based on historical cost method. The Financial Statements are prepared in Icelandic kronur and is based on the same accounting policies as in prior year.

3. Foreign currencies

Transactions in foreign currencies are translated to Icelandic krona at the foreign exchange rate at the date of the transaction. Assets and liabilities denominated in foreign currencies are recognised at the foreign exchange rate at the reporting date. Foreign exchange differences arising from translation of assets and liabilities are recognised in the income statement.

4. Revenue recognition

Revenue from the sale of goods is recognised upon delivery of the goods. Revenue from services is recognised in proportion to the status of the project at year end. The status is assessed based on completed work at year end. Revenue is not recognised if there is significant uncertainty about their collection, related costs, or that the goods may be returned.

5. Operating assets

Operating assets are measured at cost less accumulated depreciation and accumulated impairment losses. Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful life of each component of an item of operating assets. The estimated useful lives are as follows:

Equipment	2-3 years
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6. Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits with original maturities of three months or less.

7. Deferred tax liability

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that it relates to items recognised directly in equity, in which case the income tax is recognised in equity.

Current tax comprises the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date.

Deferred tax is recognised, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. The Company's tax rate is 21 % in the year 2024 but will be 20% in 2025.

Notes

8. Other income

Other income is specified as follows:

	2024	2023
Grant from Rannís	20.947.802	0
Grant from the government related to development	85.974.445	82.381.354
Total other income	106.922.247	82.381.354

9. Salaries and salary related expenses

Salaries and salary related expenses are specified as follows:

	2024	2023
Salaries	171.427.280	174.409.138
Contribution to pension funds	24.599.457	25.045.031
Other salary related expenses	15.376.827	14.481.346
Total salaries and salary related expenses	211.403.564	213.935.515

Full-time-equivalents at year end	13	13
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10. Income tax

Expensed income tax is specified as follows:

	2024	2023
Income tax payable	13.283.508	8.477.119
Change in tax asset	1.006.478	406.655
Expensed income tax	14.289.986	8.883.774

Effective income tax is specified as follows:

	2024	2023
Profit before income tax	154.240.738	140.763.550
Income tax using the current tax rate	21% (32.390.555)	20% (28.152.710)
Non-deductible costs	0% (4.389)	0% (4.040)
Non-taxable income	(12%) 18.054.633	(12%) 16.476.271
Write-down of tax asset	0% 0	(2%) 2.796.705
Change in tax rate	(0%) 50.325	0% 0
Income tax in income statement	9% (14.289.986)	6% (8.883.774)

11. Operating assets

Operating assets are specified as follows:

	Equipments
Balance 1.1.2023.....	8.534.995
Additions during the year	2.740.718
Balance 31.12.2023.....	11.275.713
Balance 31.12.2024.....	11.275.713
Depreciated 1.1.2023.....	2.304.896
Depreciation for the year	2.302.481
Total depreciations 31.12.2023.....	4.607.377
Depreciation for the year	2.788.675
Total depreciations 31.12.2024.....	7.396.052
Book value 31.12.2023.....	6.668.336
Book value 31.12.2024.....	3.879.661
Depreciation ratio	20%-33%

Notes

12. Share capital

The Company's share capital as decided in its Articles of Association amounts to ISK 0,5 million and one vote is attached to each share of ISK 1

13. Changes in stockholders equity:

	Share capital	Share premium	Accumulated deficit	Total
Equity 1.1.2023.....	500.000	125.000	63.837.825	64.462.825
Profit for the year	0	0	131.879.776	131.879.776
Equity 31.12.2023.....	500.000	125.000	195.717.601	196.342.601
Profit for the year	0	0	139.950.752	139.950.752
Equity 31.12.2024.....	500.000	125.000	335.668.353	336.293.353

14. Deferred tax liability

Deferred tax liability is specified as follows:

	2024	2023
Deferred tax liability at the beginning of the year	406.655	0
Income tax expensed	14.289.986	8.883.774
Income tax payable	(13.283.508)	(8.477.119)
Deferred tax liability at year end	1.413.133	406.655

Deferred tax liability is attributable to the following items:

Intangible assets	29.806	237.011
Trade receivables	1.040.456	0
Currency adjustments	342.871	169.644
Deferred tax liability at year end	1.413.133	406.655

15. Related party

Related parties are those parties who have a significant influence on the company, directly or indirectly, incl. Parent company, shareholders with control or significant influence, board members, key employees and their families as well as parties that are controlled by or are significantly dependent on the company, e.g. affiliates and joint ventures. Transactions with related parties have been made on a comparable basis as transactions with